

Foreign Exchange Risk

This is a real risk and one must be cognizant of the effect of a revaluation or devaluation of the currency either in the home country or in the country the company deals in.

A devaluation in the home country would make the company's products more attractive in other countries. It would also make imports more expensive and if a company is dependent on imports, margins can get reduced. On the other hand, a devaluation in the country to which one exports would make the company's products more expensive and this can adversely impact sales. A method by which foreign exchange risks can be hedged is by entering into forward contracts, i.e. advance purchase or sale of foreign exchange thereby crystallizing the exposure.

In India our currency has been appreciating against the dollar. Thus, the threat investors or recipients of dollars face is that the rupees that they finally receive is less than that they expected. This is an about turn from the situation earlier. As a consequence many have begun quoting in rupees.